



DEFENSE LOGISTICS AGENCY
DLA CONTRACTING SERVICES OFFICE PHILADELPHIA
700 ROBBINS AVENUE
PHILADELPHIA, PENNSYLVANIA 19111-5092

JUSTIFICATION FOR AN EXCEPTION TO FAIR OPPORTUNITY

Upon the basis of the following justification, I hereby approve the issuance of the contractual action described below using an exception to fair opportunity, pursuant to the authority cited herein.

1. IDENTIFICATION OF AGENCY AND CONTRACTING ACTIVITY:

Agency Requiring Activity:

Defense Finance and Accounting Service
3550 E Broad Street
Columbus, OH 43213

Contracting Activity:

Defense Logistics Agency
Contracting Services Office- Philadelphia
700 Robbins Avenue
Philadelphia, PA 19111-5092

2. NATURE AND DESCRIPTION OF THE ACTION BEING APPROVED:

Pursuant to FAR 16.505(b)(2)(i)(B), the action being approved is an exception to the fair opportunity process. This justification authorizes the use of other than full and open competition to award a firm-fixed price task order for the Defense Automatic Addressing System (DAAS) Global Exchange (GEX) in support of the Defense Finance and Accounting Service (DFAS) GEX support services. This acquisition will be a sole source award pursuant to the competitively awarded GEX Core Task Order SP4709-24-F-0010, awarded to Peraton on December 14, 2023 along with its Contract Teaming Arrangement (CTA) member Rainbow Data Systems Inc. SP4709-24-F-0011.

3. DESCRIPTION OF SUPPLIES OR SERVICES REQUIRED TO MEET THE AGENCY'S NEED/ESTIMATED DOLLAR AMOUNT:

This task order supports a Department of Defense (DoD) initiative to develop a common set of tools and services to implement the Electronic Data Infrastructure (EDI) throughout the DoD and the federal government.

This task order requires contractor support in the area of support for production and deployment for DFAS interfaces supporting the DoD. The government also requires contractor support for troubleshooting and maintenance of mapping and existing interface systems as the need arises. This task order is required to allow DFAS to continue uninterrupted GEX production operations support vital to DoD's mission to modernize and transform the financial capabilities across the DoD.

This will be a firm-fixed price task order with a 12-month base period of performance effective March 10, 2026 through March 9, 2026 and two (2) 12-month option periods from March 10, 2026 through March 9, 2027 and March 10, 2027 through March 9, 2028. The total estimated dollar value is [REDACTED].

4. IDENTIFICATION OF THE EXCEPTION TO FAIR OPPORTUNITY (SEE FAR 16.505(b)(2)) AND THE SUPPORTING RATIONALE, INCLUDING A DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR THE NATURE OF THE ACQUISITION REQUIRES USE OF THE EXCEPTION CITED:

Per FAR 16.505(b)(2)(i)(B), an exception to the fair opportunity process is justified because only one awardee is capable of providing the GEX services required at the level of quality required because the GEX services are unique and highly specialized. The GEX provides unique, specialized services to the entire DoD community and is a critical application for the Department. Peraton, the current GEX contractor, is the only contractor that currently has the capability to provide GEX skilled resources who can support the GEX services required by the Government. Awarding to another contractor with no GEX experience would lead to mission failure, causing a disruption in transactional flow across the Department.

The GEX is utilized across all DoD agencies and is important in the total technical environment of the Government as it provides data translation and data routing capabilities across DoD, as well as to the Department of Homeland Security, Department of the Treasury, and the General Services Administration (GSA). The GEX infrastructure is a homogenous environment where the data translation and integration efforts run as part of the GEX infrastructure. All components of the GEX work in tandem as a single software solution, where the GEX coordinates the processing workflow across the numerous data translation maps. The data translation maps require data be provided by the GEX in order to properly and accurately translate the data. The tightly coupled design of the infrastructure allows the GEX to process extremely high data volumes in a very efficient manner. Due to the homogenous nature of the environment, the data translation and integration requirements can overlap with GEX core software changes. As a result, the Government has a need for Peraton, who is currently providing all other GEX services, to perform the data translation and integration requirements. To fulfill a customer requirement, there often has to be both a data translation map developed and a GEX core update completed, which includes items like customized data reporting, data marts, data translation and validation routines that utilize the GEX core communication functionality. Both actions (data translation and GEX core software) must be worked via a single effort to ensure that the solution is consistently developed and delivered as a single, integrated solution. If the single developer, Peraton, is not used, then the data integration items would not work properly with the GEX core, resulting in an unusable environment and mission failure. This would result in software components that cannot be integrated together, the data integration maps would be unable to communicate with the GEX software, and the audit trails within the GEX software would be broken with negative impact to system auditability. In order to overcome these issues, the Government would need to procure additional services to integrate disconnected services into a single solution, which would negate the benefits and efficiencies of having a single, integrated software solution. These types of issues would lead to an immediate, negative impact to the Warfighter when transactions stop flowing because solutions cannot be properly integrated together into a single system.

The GEX Core Task Order was competed under the JETS contract vehicle and awarded to Peraton. The use of another contractor would lead to mission failure given they do not currently have working knowledge of GEX source code and how to integrate data translation maps into the GEX software; such knowledge would require training from current GEX personnel and is necessary to effectively support the GEX environment. GEX has been in production serving DoD systems for over 18 years and currently supports hundreds of unique Information Technology (IT) systems and over 38,000 specific data channels.

Without this support, GEX customers would have to deal with degraded production support with unacceptable downtime. Maintaining this is integrally tied into the efforts to sustain and improve the GEX itself, and thus cannot be separately competed without substantial duplication of cost and disruption to operations. As discussed above, Peraton is the only source capable of providing the GEX services in support of DFAS required for production operations of the infrastructure at the level of quality required because the GEX services are unique and highly specialized.

5. A DETERMINATION BY THE CONTRACTING OFFICER THAT THE ANTICIPATED COST TO THE GOVERNMENT WILL BE FAIR AND REASONABLE:

As the Contracting Officer, I hereby determine that the anticipated cost to the Government will be fair and reasonable. It is anticipated that the Government will use various price analysis techniques including, but not limited to: (1) Comparison of proposed prices with independent Government cost estimates; and (2) Comparison of proposed prices obtained through market research for the same or similar items.

6. ANY OTHER FACTS SUPPORTING THE JUSTIFICATION:

N/A.

7. A STATEMENT OF THE ACTIONS, IF ANY, THE AGENCY MAY TAKE TO REMOVE OR OVERCOME ANY BARRIERS THAT LED TO THE EXCEPTION TO FAIR OPPORTUNITY BEFORE ANY SUBSEQUENT ACQUISITION FOR THE SUPPLIES OR SERVICES IS MADE:

The GEX Core Task Order was issued as a competitive task order under JETS, but only one vendor submitted an offer and was therefore the only source capable of meeting the Government's requirements at that time. DLA plans to compete the follow-on GEX requirement when the JETS GEX Core Task Order expires December 14, 2026. The follow-on GEX Core Task Order SP4709-24-F-0010 was awarded to Peraton on December 14, 2023 along with its Contract Teaming Arrangement (CTA) member Rainbow Data Systems Inc. SP4709-24-F-0011. The GEX Core Task Order renewal was recompeteted but only Peraton, along with its Contract Teaming Arrangement (CTA) member Rainbow Data Systems Inc., submitted an offer and therefore is the only source capable of meeting the Government's requirements at this time.

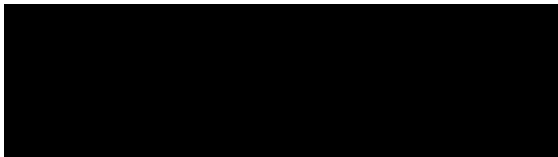
8. CERTIFICATIONS

Technical Certification: I hereby certify that the support data provided for which I am responsible and which form a basis for this justification are complete and accurate.



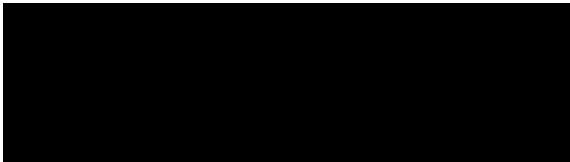
DFAS GEX Program Manager

Contracting Certification: I hereby certify that this justification is accurate and complete to the best of my knowledge and belief.



Contracting Officer
DLA Contracting Services Office Philadelphia

In accordance with FAR 16.505(b)(2)(ii)(C)(2), I have determined that FAR 16.505(b)(2)(i)(B) applies and I approve this justification.



Competition Advocate
DLA Contracting Services Office